FIR INFORMATION: BULLETIN #1

Tile Drainage Loans

Issue

Tile drainage loans shown on Schedule 70 in the FIR should also appear on the audited financial statements. (Tile drainage loans being netted out of Long term liabilities)

BACKGROUND

Given that Tile Drainage loans were issued in the name of the municipality, the obligations to repay the loans reside with the municipality. The loans also satisfy the criteria of liability recognition under PS 3200 – Liabilities.

Tile Drainage loans are not loan guarantees – they are loans issued by Ministry of Agriculture, Food and Rural Affairs (OMAFRA). Municipalities are obliged to repay the monies to OMAFRA whether or not the farmers fulfill their repayment obligations to respective municipalities.

PSAB standards always emphasize the needs to present information in gross versus net method, except in the case where "the legal right of offset was in place."

The Gross/Net method does not affect the Annual Repayment Limit (ARL) calculation, but it does affect the consistency in the FIR.

Tile Drainage Loans should be reported as liabilities, and report the gross amount respectively on Schedules 70 and 74.

Tile Drainage interest charges should be reported on line 1850 Schedule 40 Column 2. The principal repayment of the tile drain loans should be shown 1096 column 1.

These loans should not be considered as loan guarantees or contingent liabilities.

FIR INSTRUCTIONS
Please refer to page 28 of the FIR Introduction instructions for more information.

CONTACT US
Please email us at **FIR.MAH@ontario.ca** for more information.

NOTE:

Please consult with your municipal auditor with respect to your annual financial statement presentation on this issue and legal right of offset.